

FINANCIAL ASSESSMENT

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Introduction

This Financial Assessment was created from the information captured in your discovery meeting. It is designed to give you the resources you need to meet your financial goals effectively. Estimates, projections, and figures are approximations based on mathematical calculations. Taking this information as absolute may adversely affect your current financial position.

The analysis is a guide to improving your current situation; the recommendations are a starting point. Falcon Wealth provides one to two meetings with our Certified Financial Planners at no cost. Financial planning is a continuous series of decisions in service of outstanding goals.

Our CFP® practitioners are one section of your personal finance and should work alongside your CPA and estate attorney. Portions of this report may be based on generally accepted tax and estate principles, which are always subject to change. Independent tax and legal counsel are suggested.

Financial, Retirement, Tax & Investment Assessment

1. WHERE YOU ARE TODAY

Cash & emergency fund	\$189,000
Tax deferred / qualified / IRA	\$1,684,000
Taxable / non-qualified / brokerage	\$1,868,073
Tax free / Roth	\$0
Business & other	\$7,969,000
Total assets Excluding real estate	\$11,710,073

Real estate \$9,611,000 · mortgages \$813,000 · Net worth \$20,478,073

2. WHAT RETIREMENT LOOKS LIKE

EXPENSES TODAY

\$0

Social Security	\$33,000
Pension	\$0
Rental income	\$277,000
VA benefits	\$0
Total guaranteed income	\$310,000

3. SHORTAGE REQUIRED FROM INVESTMENTS

SURPLUS \$310,000

Will this fixed retirement income be enough when factoring in taxes, mortgage payoff, Social Security gap, COLA, insurance gap, and education or care expenses? Client age 73.

4. TAX PLANNING AND TAX REDUCTION STRATEGIES

1. Roth conversion strategies
2. Roth contribution strategies (back door)
3. Asset liquidation strategies
4. Tax gain and loss harvesting
5. Charitable giving strategies
6. Income management for insurance and Social Security taxation
7. Address current and future income tax burden

8. Tax diversification of assets (tax-free, capital gains, tax-deferred)
9. Tax-efficient investments (credits and deductions)
10. Employer-sponsored plans
11. Business planning strategies

5. INVESTMENTS

1. Reduce risk — do not take more risk than needed
2. Reduce fees
3. Reduce capital-gain distributions
4. Increase liquidity
5. Tax efficient
6. Strategic gains
7. Properly diversified
8. Create a portfolio that will provide a lifetime of retirement income
9. Eliminate the need for market timing — 12–20 asset classes
10. Shift from accumulation to distribution
11. Asset location to optimize tax treatment

6. INSURANCE AND ESTATE PLANNING

- Estate tax changes come 2026
- Annual gifting
- Charitable giving
- Establish estate planning documents — living trust, pour-over will, POAs (healthcare & financial), HIPAA
- Avoid public records, time delays, probate expenses and attorney fees
- Protect the estate against long-term illness and premature death
- Simplification through coordination of advisors

Areas of concern

Focus areas for planning, generated from this household.

Tax planning WATCH

The portfolio is not tax-diversified. \$1,684,000 sits in tax-deferred accounts and \$0 in Roth — most withdrawals will be ordinary income.

RECOMMENDED STRATEGY

- Develop a multi-year Roth conversion map, sized to remaining brackets and IRMAA cliffs.
- Weight equities in taxable accounts and fixed income in qualified accounts.
- Harvest gains and losses; use charitable giving (QCD / DAF) to offset conversions.
- Plan for RMDs at 73 (75 for those who turn 74 after 2032) before the forced-income years.
- Structure retirement paychecks from tax-free, ordinary, and capital-gain sources.

No tax-free bucket HIGH

There is currently no Roth / tax-free balance. Future rate increases and RMDs will push ordinary income into higher brackets with little flexibility.

RECOMMENDED STRATEGY

- Begin Roth conversions in years with lower ordinary income (pre-RMD, pre-Social Security).
- Evaluate backdoor Roth contributions if earned income remains.
- Keep five-year clocks in view for each conversion vintage.

Investment management WATCH

\$11,710,073 of investable assets (ex-real estate) needs a distribution-era allocation across 12–20 asset classes, with fees and capital-gain distributions kept in check.

RECOMMENDED STRATEGY

- Build a diversified, tax-efficient portfolio sized to the cash-flow required return.
- Prefer institutional index funds; use ETFs where institutional share classes are not available.
- Consolidate accounts to cut cost and make rebalancing and asset location real.
- Shift the mandate from accumulation to distribution — no market timing required.
- Rebalance to bands tied to spending, not to a calendar.

Required minimum distributions HIGH

At age 73, RMDs from \$1,684,000 of qualified assets will begin the year after they started and are taxed as ordinary income.

ordinary income.

RECOMMENDED STRATEGY

- Model RMD income against Social Security taxation, IRMAA, and the surviving-spouse bracket.
 - Use the pre-RMD window for conversions rather than waiting for forced distributions.
 - QCDs after 70½ can satisfy RMDs with charitable intent.
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Risk management WATCH

Premature death, long-term care, and liability claims can undo an otherwise funded plan. Coverage should be sized to cash-flow, not to a product.

RECOMMENDED STRATEGY

- Analyze the income gap on first death (pension survivor election, Social Security, expenses).
 - Price long-term care against self-insurance from cash and home equity.
 - Review dwelling cost-per-square-foot, liability limits, and deductibles on home and auto.
 - Consider an umbrella policy sized to net worth.
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Long-term care protection WATCH

No long-term care policy is on file. Private-room nursing costs now routinely exceed \$100,000 per year and are not covered by Medicare beyond a short skilled-care window.

RECOMMENDED STRATEGY

- Compare traditional LTC, hybrid life/LTC, and a dedicated self-insurance reserve.
 - Document the family-care preference so the surviving spouse is not the default plan.
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Umbrella liability protection WATCH

With a \$20,478,073 net worth, auto and homeowners liability limits are unlikely to cover a catastrophic claim.

RECOMMENDED STRATEGY

- Add an umbrella of at least \$1–5 million, coordinated with underlying auto and home limits.
 - Confirm the umbrella sits over all licensed drivers and properties.
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Estate planning HIGH

Documents not confirmed: will, living trust, financial POA, medical POA, HIPAA, quality-of-life directive. Unfunded or missing documents put the estate through probate and public record.

RECOMMENDED STRATEGY

- Review the living trust so non-qualified assets avoid probate and receive a step-up in basis.
 - Confirm pour-over will, financial POA, medical POA, HIPAA release, and quality-of-life directive.
 - Retitle bank and brokerage accounts to the trust; keep retirement accounts on beneficiary forms.
 - Revisit A/B vs. disclaimer provisions given the 2026 estate-tax exemption sunset.
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Assets may not be titled correctly HIGH

Trusts, TOD/POD, and joint titling each transfer differently. A trust that is not on the account title still goes through probate.

RECOMMENDED STRATEGY

- Audit every non-qualified account and deed against the trust.
 - Use TOD/POD only as a complement to, not a substitute for, a funded trust on larger estates.
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Beneficiaries may not be titled correctly HIGH

0 of 9 retirement, brokerage, and insurance records have a beneficiary on file. These pass by contract, not by the will.

RECOMMENDED STRATEGY

- Review primary and contingent beneficiaries on IRAs, 401(k)s, life insurance, and annuities.
 - Name people or a see-through trust — not the estate — to avoid IRD acceleration.
 - Update designations after any marriage, divorce, or death.
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Temporary liquidity at death INFO

Funeral, medical, and administrative costs arrive before accounts retitle. Social Security's burial benefit is \$255 against a typical \$15,000 funeral.

RECOMMENDED STRATEGY

- Keep a dedicated cash reserve for final expenses, legal bills, and unpaid debts.
 - Or fund a small final-expense policy so the family is not waiting on probate.
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Coordination of professionals WATCH

The CPA, estate attorney, and insurance agent are not fully on file. Uncoordinated advice is how tax, titling, and insurance recommendations collide.

RECOMMENDED STRATEGY

- Introduce the CFP®, CPA, and estate attorney on a shared planning memo.
- Run Roth conversions, gifting, and trust funding as one calendar, not three.

Investment management · \$11,710,073

Develop a diversified, tax-efficient portfolio to provide for cash-flow needs and mitigate inflation. Institutional index funds are favored; ETFs where institutional shares are not optimal. Incorporate 12–20 asset classes in percentages contingent on the required return:

US HOLDINGS

- Large Cap Value
- Large Cap Growth
- Mid Cap Value
- Mid Cap Growth
- Small Cap Value
- Small Cap Growth
- Tilts — Energy
- Tilts — Real Estate

INTERNATIONAL

- Developed Markets
- Large/Mid/Small Cap Growth
- Large/Mid/Small Cap Value
- Diversified Emerging Markets

FIXED INCOME

- Short Term (ST) Bonds
- US Treasuries
- Private Debt
- International ST Bonds

Tax diversification

Flexibility in retirement comes from owning three tax personalities — taxable, tax-deferred, and tax-free — so you can choose the character of income each year.

Tax-free

\$0

0% qualified out

Roth IRAs

Roth 401(k)

Municipal bonds (in part)

Taxable

\$2,057,073

0–23.8% capital gains

Brokerage

Crypto

Checking / savings

Collectibles

Tax-deferred

\$1,684,000

Ordinary income out

IRAs

401(k) / 403(b) / 457

SEP / SIMPLE

Defined benefit

GOALS CAPTURED

Do estate and tax planning; set up a dynasty trust for daughter Kaylee so she can live off income without touching principal. Transfer low-basis assets and family partnership interests out of estate tax-free to daughter and future generations. Evaluate converting Traditional IRA (~\$1,300,000) to Roth IRA over 1–2 years to beat RMDs and lower estate tax exposure. Determine whether to get appraisals for real estate and partnership interests to leverage valuation discounts. Asset management under Falcon is secondary; would consider transferring money after satisfaction with initial estate and tax planning.

Estate and tax planning; set up dynasty trust for daughter Kailey so she can live off income without touching principal; transfer low-basis assets and family partnership interests out of estate tax-free to daughter and future generations; evaluate converting Traditional IRA (~\$1.68M) to Roth over 1–2 years to beat RMDs and lower estate tax exposure; determine whether to get appraisals for real estate and partnership interests for valuation discounts; asset management under Falcon secondary after satisfaction with estate/tax planning. Flat-fee planning only (no AUM for planning phase).

CONCERNS CAPTURED

High annual tax burden (~50% combined marginal rate). Highly appreciated assets with very low tax basis (real estate and partnership interests). Partnership transparency and succession risk: 82-year-old uncle running partnerships refuses to share tax returns or financial statements beyond K-1s; no clear operational successor. Complicated unrecorded obligation/agreement with daughter's mother regarding 560 36th Street occupancy and rent sharing. Upcoming RMDs starting at age 73+.

High annual tax burden (~50% combined federal/state marginal; ~\$300,000+ taxes paid annually). Highly appreciated low-basis real estate and partnership interests. Partnership transparency and succession risk: 82-year-old uncle runs partnerships, refuses tax returns/financials beyond K-1s, no clear operational successor. Unrecorded/complicated agreement with Christy Setaro on 560 36th St occupancy and 50/50 rent share (gift vs expense tax risk). Upcoming

RMDs. Net worth ~\$20,488,000 exceeds estate exemption. Prior bad estate attorney experience.

Household snapshot

CLIENT**Dan Freedman****RESIDENCE****Manhattan Beach, CA****ADVISOR****Michael Jensen****ATTORNEY**

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SPOUSE

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FILING STATUS**Married Filing Jointly****REFERRED BY**

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CPA**TurboTax ·**

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